

UPI Compliance Framework: RBI Guidelines, NPCI Rules, and Merchant Policies

Executive Summary

This comprehensive document consolidates the regulatory framework governing India's Unified Payments Interface (UPI) ecosystem. It covers Reserve Bank of India (RBI) guidelines, National Payments Corporation of India (NPCI) operational rules, merchant onboarding policies, security standards, and compliance requirements as of February 2026.

The UPI system represents India's flagship digital payment infrastructure, handling millions of daily transactions. This framework ensures security, interoperability, and consumer protection across all stakeholders including banks, Payment Service Providers (PSPs), merchants, and technology partners.

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1. RBI Regulatory Framework

1.1 Regulatory Authority

The Reserve Bank of India exercises oversight of UPI under the Payment and Settlement Systems Act, 2007 (Act 51 of 2007). All UPI operations must align with RBI's extant guidelines on digital payments, mobile banking, and payment system operations[1].

1.2 Membership Requirements

Banking License Mandate: All Payment Service Providers (PSPs) must be regulated entities under the Banking Regulation Act, 1949, and authorized by RBI for mobile banking services[2].

Key Restrictions:

- PSP functions cannot be outsourced (only technology platforms may be outsourced)
- PSPs maintain equal ownership of customer data across all users (own bank and other banks' customers)
- Mobile banking registration is mandatory for remitting customers

1.3 UPI Access for Prepaid Payment Instruments (PPIs)

RBI circular RBI/2024-2025/97 dated December 27, 2024, permits full-KYC PPI holders to access UPI through third-party applications[1].

Key Provisions:

- PPI issuers must enable only full-KYC PPIs for UPI payments
- PPIs can be linked to issuer's own UPI handle or third-party PSP handles
- Authentication for issuer app: existing PPI credentials (pre-approved before reaching UPI)
- Authentication for third-party apps: standard UPI credentials
- PPI issuers as PSPs cannot onboard customers of other banks or PPI issuers

1.4 Transaction Limits and Flexibility

The RBI has directed NPCI to explore raising UPI transaction limits based on evolving user needs, with appropriate safeguards for higher limits[3]. Currently:

Transaction Category	Limit (Per Transaction)
Person-to-Person (P2P)	Rs. 1,00,000
Person-to-Merchant (P2M) - General	Rs. 1,00,000
Capital Markets, Insurance, Collections	Rs. 2,00,000
Tax Payments, Educational Institutions	Rs. 5,00,000
Hospitals, IPOs, RBI Retail Direct	Rs. 5,00,000
High-value Merchant Payments*	As per bank discretion

Table 1: UPI Transaction Limits (2026)

*Banks may set transaction caps for UPI-based payments at physical stores within their risk profiles[4].

1.5 Security and Authentication

RBI mandates **mandatory two-factor authentication (2-FA)** for all financial transactions:

- **First Factor:** Device fingerprint (validated by PSP)
- **Second Factor:** 4-6 digit PIN or biometric (UIDAI-validated, processed by Issuer Bank)
- PIN must be encrypted using Public Key Infrastructure (PKI)
- Issuer banks must decrypt PIN/data using Hardware Security Module (HSM) only

1.6 Audit and Inspection Rights

RBI may conduct audits and inspections of PSPs under the PSS Act, 2007. PSPs must assist RBI in carrying out such audits as required[2].

2. NPCI UPI Operational Guidelines

2.1 NPCI's Role

NPCI is the owner, network operator, service provider, and coordinator of the UPI Network. NPCI reserves the right to:

- Operate and maintain the UPI Network directly or through third-party service providers
- Audit UPI-related systems (hardware and software) of members
- Own, hold, and acquire intellectual property rights to UPI
- Impose penalties for guideline violations
- Suspend or terminate membership for non-compliance

2.2 System Architecture

Key Aspects:

- Unified interface across all NPCI systems with interoperability
- Support for mobile app, web, and IVR channels
- Both sender (payer) and receiver (payee) initiated payments
- Multiple payment identifiers: Virtual Address, Aadhaar, Account+IFSC, Mobile+MMID
- 1-click 2-factor authentication with biometric support

2.3 Payment Service Providers (PSPs)

Mandatory Requirements:

- Must onboard as Issuer first (cannot join directly as Acquirer)
- Must embed NPCI Libraries in applications for secure credential capture
- Must support both Push and Pull transactions
- Must provide functionality for: Financial transactions (Pay/Collect), Non-financial transactions (Mobile Banking Registration, Set/Change PIN, OTP, Check Status)
- Must offer dispute/complaint raising through PSP App

PSP Handle Allocation:

- Maximum 3 PSP handles per bank

- Format: username@psp (e.g., user@paytm, customer@phonepe)
- PSP name allocated by NPCI (should be unique, preferably registered/trademarked domain)
- Virtual addresses resolved locally by PSP

2.4 Virtual Payment Addresses (VPA)

Address Type	Format	Resolution
Virtual Address	username@psp	PSP Local Mapper
Global Address (Aadhaar)	Aadhaar Number	NPCI Mapper
Account-based	Account + IFSC	NPCI Mapper
Mobile-based	Mobile + MMID	NPCI Mapper

Table 2: UPI Address Types and Resolution

VPA Rules:

- Must uniquely identify customer within PSP setup
- 2-year moratorium on deactivated VPA reuse
- No portability between banks
- Banks may provide default VPAs for customers (even if only Issuer, not PSP)

2.5 Transaction Types

Financial Transactions:

Pay Request (Push): Payer initiates fund transfer to beneficiary using VPA, Account+IFSC, Mobile+MMID, or Aadhaar.

Collect Request (Pull): Payee requests funds from remitter using VPA.

- Expiry: 1 minute to 45 days (default: 30 minutes)
- Authorization must occur on mobile channel
- Can be initiated from non-mobile channel but authorized on mobile only

Non-Financial Transactions:

- Mobile Banking Registration

- Generate One Time Password (OTP)
- Set/Change PIN
- Check Transaction Status

2.6 NPCI Libraries

NPCI provides secure libraries for Android, iOS, and Windows platforms to:

- Capture credentials (OTP, PIN, Biometrics) securely
- Implement PKI encryption (NPCI Public Key → NPCI Private Key → Issuer Public Key → Issuer Private Key)
- Ensure PIN never traverses in plain text
- Support UIDAI biometric authentication (closed-loop biometrics not supported)

Pre-approved Transactions: When Payer PSP and Remitter Bank are the same entity, PSP may send pre-approved transactions (debit already processed). NPCI processes only credit leg.

2.7 System Availability

- 99.9% uptime commitment (24x7 operation)
- Excludes periodic maintenance (48-hour advance notice) and force majeure events
- Members required to maintain 150 TPS capacity, 500K transactions/day minimum

2.8 Steering Committee

- Comprises representatives from IMPS Steering Committee members
- Meets at least once per quarter
- Discusses business, operational, and technical issues
- May invite industry experts
- Approves transaction limit changes and policy amendments

3. Transaction Limits and Usage Rules

3.1 Current Transaction Limits (2026)

Category	Per Transaction	Special Notes
P2P (General)	Rs. 1,00,000	Mandatory default Banks may set higher for physical stores
P2M (General)	Rs. 1,00,000	
Capital Markets	Rs. 2,00,000	From Sept 15, 2026
Insurance	Rs. 2,00,000	From Sept 15, 2026
Collections	Rs. 2,00,000	From Sept 15, 2026
Foreign Inward Remittances	Rs. 2,00,000	From Sept 15, 2026
Tax Payments	Rs. 5,00,000	From Sept 15, 2026
Educational Institutions	Rs. 5,00,000	From Sept 15, 2026
Hospitals	Rs. 5,00,000	From Sept 15, 2026
IPOs	Rs. 5,00,000	From Sept 15, 2026
RBI Retail Direct Schemes	Rs. 5,00,000	From Sept 15, 2026

Table 3: UPI Transaction Limits by Category (2026)

3.2 Daily Usage Limits (New UPI Rules 2025)

- **Balance Checks:** Maximum 50 per day per app
- **Account Linking:** Maximum 25 account links per day
- **Transaction Count:** Maximum 20 UPI transactions per day per user
- **OTP Verification:** Mandatory for high-value transactions and account changes

3.3 P2P First 24 Hours Limit

For new accounts receiving funds via P2P in the first 24 hours[5]:

- Maximum 25 successful transactions
- Cumulative credit cap: Rs. 4,00,000
- Implementation deadline: December 10, 2023 (compliance mandatory)

3.4 Enhanced Features (2025 Onwards)

- Automatic display of account balance after each transaction
- Restricted auto-debit timings (enhanced transparency)
- Transaction Credit Confirmation (TCC) for auto-accept/reject chargebacks from February 15, 2025
- Reduced manual intervention in dispute resolution

4. Merchant Onboarding and Policies

4.1 Merchant Categories

NPCI defines three merchant transaction categories:

Category	Description
P2P	Person-to-Person payments (not for merchant use)
P2PM	Peer-to-Peer Merchant (small merchants/vendors, low-value transactions)
P2M	Person-to-Merchant (formal merchant onboarding)

Table 4: UPI Merchant Transaction Categories

4.2 Merchant Onboarding Requirements

NPCI Circular OC-181 (November 2023) mandates[5]:

- Merchants must be onboarded only under P2M or P2PM categories

- Wrong categorization under P2P must be corrected by December 10, 2023
- Acquiring banks/PSPs bear full liability for onboarded merchants
- Merchants can be onboarded directly or through aggregators/partners
- Due diligence per NPCI Guidelines dated September 8, 2021 is mandatory

Merchant Compliance Actions:

- Populate correct MCC (Merchant Category Code) in 'subCode' field
- MCC 7407 specifically for P2PM category
- Deadline for MCC correction: February 15, 2024
- Non-compliance may result in penalties, onboarding suspension, or debarment

4.3 Merchant QR Codes

NPCI Circular OC-190 (2023-24) requires[6]:

- Online merchants should migrate to dynamic QR instead of Collect requests
- Compliance deadline: April 30, 2024
- Non-compliance consequences: Penalties, stop onboarding of new online merchants, or debarment

4.4 Merchant Settlement

- Direct settlement to merchant's PSP-held account
- Merchant Discount Rate (MDR) and interchange based on MCC code
- Acquiring PSP validates Reference ID and transaction amount
- Routine data checks for inconsistencies
- Velocity checks to detect P2P transactions masquerading as P2M

4.5 Merchant Transaction Flows

In-App Merchant Payments:

- Merchant app invokes all UPI PSP apps via intent call
- PSP authenticates merchant
- Customer authorizes using UPI PIN
- Merchant receives Reference ID for validation

Web-based Merchant Payments:

- Collect request from merchant website
- Customer receives notification on PSP app
- Customer authorizes on mobile channel
- Settlement through acquiring PSP

4.6 Third-Party Processors

- Allowed for merchant onboarding (not for customer onboarding)
- Must operate via Acquiring Bank relationship
- Subject to PSP due diligence and oversight
- Cannot embed NPCI libraries directly (PSP SDK only)

5. Security and Compliance Standards

5.1 UPI Information Security Compliance Framework 2025

NPCI issued the UPI InfoSec Compliance Framework 2025, mandating comprehensive security audits for all UPI ecosystem participants[7] [8].

Objectives:

- Outline information security compliance requirements and standards
- Build a secure and resilient UPI ecosystem
- Ensure confidentiality, integrity, availability, privacy, and resilience

- Proactively recognize, track, mitigate, and oversee cybersecurity risks

5.2 Applicability

The framework applies to:

- Issuing and Acquiring Banks
- Payment Service Provider (PSP) Banks and entities
- Prepaid Payment Instrument (PPI) Issuers
- Third-Party Application Providers (TPAPs)
- Technology Service Providers (TSPs)
- Interactive Voice Response (IVR) providers
- Voice-based payment service providers
- Application Service Providers (ASPs)

Stakeholders Impacted:

- Board of Directors
- Senior Management (CEO, IT Head, CRO)
- Chief Information Security Officer (CISO)
- Application Owners

5.3 Audit and Compliance Obligations

Pre-Onboarding Audit:

- Comprehensive security audit by CERT-IN empaneled auditor
- Entities bear audit costs
- All open findings must be closed before final compliance report
- Final report with zero open findings submitted to NPCI
- Onboarding only after compliant report submission

Annual Audits:

- Mandatory annual security audit
- Final compliance report with no open findings due by December 31 each year
- Audit scope: Entire UPI infrastructure, applications, frontend, and backend

5.4 Governance Controls

Governance Structure:

- **Board of Directors:** Primary oversight with Information Security Sub-Committee (ISSC)
- **CISO Accountability:** Designated CISO with independence from IT operations, reports to senior leadership
- **Policy Framework:** Clear policies covering objectives, scope, ownership, compliance, and penalties
- **Risk Management:** InfoSec Risk, Cyber Risk, and Cyber Resilience programs
- **Reference Guidelines:** CERT-IN, NCIIPC, NPCI frameworks

Roles and Responsibilities:

- Establish clear policies applicable across all UPI ecosystem participants
- Periodic policy reviews and updates
- Monitor policy compliance and exceptions
- Conduct IT assessment reports and training programs

5.5 Security Measures and Controls

Identity and Access Management (IAM):

- Privileged Identity Management
- Role-based access control
- Multi-factor authentication
- Whitelist mechanism
- Authorization controls

Network Security:

- Firewall implementation
- Virtual Private Network (VPN)
- Anti-malware solutions
- Network segmentation
- Transport Layer Security (TLS)
- Secure routing

Application Security:

- SDK handling and device binding
- API and POS security
- Hardening and patching
- Secure software development lifecycle

Data Security:

- Encryption (data at rest and in transit)
- Secure storage with access controls
- Data masking
- Secure deletion protocols
- Tokenization for sensitive data

Fraud Management:

- Real-time fraud detection systems
- AI-based fraud prevention
- Comprehensive reporting mechanisms
- Velocity checks and transaction monitoring

Incident Management:

- Comprehensive logging
- Incident reporting procedures
- Investigation protocols
- Forensic capabilities

Infrastructure Resilience:

- Resilience testing
- Scalability planning
- Redundancy mechanisms
- 24x7 monitoring

5.6 Operational Review Requirements

Business Continuity Plan (BCP):

- Data leak prevention policy
- High availability architecture

- Disaster Recovery (DR) site within 6 months
- Regular DR drills
- Recovery Time Objective (RTO) and Recovery Point Objective (RPO) defined

Vulnerability Assessment and Penetration Testing (VAPT):

- Regular VAPT testing
- Source code review
- Application security assessment
- Validation and benchmarking
- Re-assessment and closure of findings

Logging and Monitoring:

- Real-time alerts and tracking
- Oversight and retention policies
- Reporting to regulators (RBI, NPCI)
- Continuous review and improvement

Infrastructure Resilience Testing:

- Capacity testing
- Performance benchmarking
- Reliability assessments

Architectural Review:

- ISO 27001 alignment
- PCI DSS compliance
- Timely closure of audit findings

5.7 Alignment with Global Standards

The UPI InfoSec Framework 2025 aligns with:

- Zero Trust Architecture
- ISO 27001 (Information Security Management)
- PCI DSS (Payment Card Industry Data Security Standard)
- NIST Cybersecurity Framework (CSF)
- RBI Cyber Security Framework

- Digital Personal Data Protection Act (DPDP Act)

5.8 API Security Guidelines (OC-215/2025-26)

NPCI issued API security guidelines with key requirements[9]:

- **Notification Date:** May 21, 2025
- **Implementation Deadline:** July 31, 2025
- **Undertaking Deadline:** August 31, 2025

Key Requirements:

- All system-initiated APIs must be queued and rate-limited
- Every API call must be justified, tracked, and governed
- Automation triggers require explicit governance
- Background tasks must follow rate limiting protocols
- Prevents API overload and ensures system stability

6. Audit and Certification Requirements

6.1 RBI Audit Rights

The Reserve Bank may conduct audits and inspections under the Payment and Settlement Systems Act, 2007. PSPs must assist RBI in carrying out such audits[2].

6.2 NPCI Audit Rights

NPCI reserves the right to audit UPI-related systems (hardware and software) either directly or through appointed external agencies[2].

Member Obligations:

- Conduct annual internal audits
- Submit audit reports annually to NPCI
- Ensure processing agents comply with UPI Procedural Guidelines

6.3 Pre-Certification Requirements

PSP App and Data Center Audit:

- Audit by CISA-equivalent auditor or PCI Council empaneled QSA
- Annual audit mandatory
- Verification areas: System-level security, Network/Data Centre security, Risk tools adequacy, Policies and procedures, Annual certification process

6.4 CERT-IN Empaneled Auditor Requirements

Under UPI InfoSec Framework 2025[7][8]:

- Pre-onboarding comprehensive security audit
- Annual security audits thereafter
- CERT-IN empaneled auditors only
- End-to-end scope: Mobile apps, infrastructure, backend, frontend
- Full remediation of vulnerabilities before final report
- Zero open findings in final compliance report

6.5 Security Certification Checklist

App Checklist Requirements:

- Home screen verification
- Registration flow validation
- Transaction flow testing
- PIN/Biometric entry through NPCI Library
- Device fingerprinting implementation
- Encrypted SMS verification
- Error handling and edge cases
- Dispute raising functionality

6.6 Compliance Reporting Timeline

Activity	Timeline
Pre-onboarding audit	Before go-live
Initial compliance report (zero findings)	Before onboarding
Annual audit	Every 12 months
Annual compliance report submission	By December 31 each year
Vulnerability remediation	Before final report
API security undertaking	August 31, 2025 (OC-215)

Table 5: Compliance and Audit Timeline

7. Penalties and Enforcement Mechanisms

7.1 Penalty Authority

NPCI reserves the right to impose penalties on members for violating guidelines. Penalties are decided by the UPI Steering Committee[2].

7.2 Types of Penalties

- Monetary fines (amount decided by Steering Committee)
- Suspension of end-to-end (host-to-host) connectivity
- Termination of membership
- Stop onboarding of new merchants/customers
- Debarment from UPI network
- Legal action for severe violations

7.3 Grounds for Penalties

Non-Compliance Issues:

- Failure to comply with UPI Procedural Guidelines
- Violation of NPCI circulars and notifications
- Material breach remaining unremedied for 30 days
- Inadequate security measures
- Incorrect merchant categorization
- Missing MCC codes
- Failure to implement mandated changes within deadline

Operational Issues:

- Settlement failures (>2 times per month leads to debarment)
- Maintaining inadequate RTGS balance
- Equipment/system malfunctions affecting network
- Fraud or negligence
- Unauthorized access to UPI network

Security Issues:

- Open audit findings not closed by deadline
- Failure to submit annual compliance reports
- Security breaches or vulnerabilities not remediated
- Non-compliance with UPI InfoSec Framework 2025

7.4 Suspension and Termination

NPCI may suspend/terminate membership for:

- RBI banking license cancellation
- RTGS settlement account closure or freeze
- Suspension/cancellation of mobile banking approval by RBI
- Suspension or cancellation of RTGS membership
- Bank amalgamation or liquidation
- Material breach unremedied for 30-60 days

Process:

1. Written notice from NPCI citing reasons
2. 30-day cure period (extendable to 60 days if diligently pursued)
3. Opportunity for appeal and post-decisional hearing within 30 days
4. Order confirming or revoking termination
5. If non-curable violation: immediate suspension/termination

7.5 Post-Suspension Obligations

- Immediate cessation of UPI logo/trademark usage
- No further UPI transactions
- Settlement account debited for pending disputes
- Prohibition on disclosing UPI network information

- Breach of confidentiality invites legal penalties

7.6 Pending Dues

- All fines, settlement dues, and liabilities must be cleared within stipulated time
- Failure results in suspension/termination
- No participation allowed until dues cleared

7.7 Rectification Grace Period

No fine imposed if:

- Rectification completed within NPCI-stipulated time
- Member's past record is satisfactory

NPCI may notify member or impose penalty depending on past compliance record[2].

7.8 Merchant-Specific Penalties (OC-190, OC-181)

For merchant onboarding non-compliance:

- Penalty levy for wrong categorization
- Stop onboarding of new online merchants
- Debarment of UPI Acquirer
- Applies until full compliance achieved

8. Settlement Procedures

8.1 Settlement Mechanism

UPI transactions settle through the IMPS (Immediate Payment Service) infrastructure. NPCI has Type D RTGS membership and acts as settlement agency[2].

8.2 Settlement Variants

Scenario	Debit	Credit	Settlement
Sender UPI + Recipient IMPS	UPI	IMPS	IMPS
Both banks on IMPS	IMPS	IMPS	IMPS
Both banks on UPI	UPI	UPI	IMPS

Table 6: UPI Settlement Variants

8.3 Net Debit Cap (NDC) Limits

- Banks assigned percentage of existing IMPS NDC limits for UPI
- NDC limits refreshed at end of each settlement cycle
- Net receivable/payable calculated
- Settlement via RTGS to RBI accounts

8.4 Settlement Reports

Report Types:

- Raw Files (transaction-level details)
- Daily Settlement Report (DSR)
- Net Transaction Settlement List (NTSL)
- Settlement Reconciliation Report (STL)
- VERAf (for IMPS-leg transactions)

Delivery Method:

- Secure File Transfer Protocol (SFTP)
- DMS (Document Management System) / RGCS application
- Separate reports for U2U (UPI-to-UPI) transactions

8.5 Settlement Fees

Net settlement includes:

- **Switching Fee:** Payable to NPCI
- **Interchange Fee:** Between banks
- **PSP Fee:** For payment service provider services
- **MDR:** Merchant Discount Rate (for P2M transactions)

8.6 Settlement Obligations

- Members must verify accuracy of Daily Settlement Reports
- Maintain adequate RTGS settlement account balance
- Strict compliance with RBI RTGS operational instructions
- Letter of authority to RBI for debit/credit authorization (for new members not on IMPS)

Failure Consequences:

- Failing to meet settlement obligation >2 times per month:
Debarment from membership
- Stringent action as deemed fit by NPCI

8.7 Dispute Settlement

Dispute Types:

U2U Transactions (UPI-to-UPI):

- Timeouts treated as declined (automatic reversals)
- Credit adjustments for failed transactions
- PSPs raise complaints through NPCI system
- Merchant chargebacks processed
- Transaction Credit Confirmation (TCC) for auto-accept/reject from Feb 15, 2025

U2I Transactions (UPI-to-IMPS):

- IMPS settlement rules apply
- Bilateral resolution between remitting and beneficiary banks
- Turnaround Time (TAT) as per UPI Operating Guidelines

Customer Complaints:

- First point of contact: Customer's PSP
- PSP must provide dispute raising option in app
- PSP or bank must resolve complaints conclusively
- Bilateral settlement between involved parties

8.8 Reconciliation Requirements

- All UPI members must download settlement files
- Mandatory reconciliation as per NPCI guidelines
- Separate operations and reconciliation team required
- Handle day-to-day activities proactively and efficiently

9. Recent Updates and Changes (2024-2026)

9.1 UPI Access for PPIs (December 2024)

RBI circular RBI/2024-2025/97 enables full-KYC PPI holders to use third-party UPI apps, enhancing convenience and choice[1].

9.2 Transaction Limit Increases (2026)

Updated limits for specific categories effective September 15, 2026[3]:

- Capital markets, insurance: Rs. 2 lakh
- Tax payments, education, hospitals, IPOs: Rs. 5 lakh
- Banks can set higher limits for physical store merchant payments within risk profiles

9.3 Enhanced Operational Norms (August 2025)

- Refined API behavior and high-frequency call caps
- Limits on balance/status checks (50 per day)
- Scheduled payment windows refined
- Strengthened backend processes

9.4 Transaction Credit Confirmation (February 2025)

- Auto-accept or reject chargebacks via TCC system
- Reduced manual intervention
- Implemented on bulk uploads and UDIR (Unified Dispute Resolution Interface)
- Not implemented for front-end disputes
- Smoother, faster dispute resolution

9.5 UPI InfoSec Compliance Framework 2025

Comprehensive security framework mandating:

- Annual audits by CERT-IN empaneled auditors
- Zero open findings requirement
- December 31 annual deadline
- Alignment with global standards (ISO 27001, PCI DSS, NIST)

9.6 Merchant Onboarding Compliance (2023-2024)

- Correct MCC population mandatory by February 15, 2024
- P2P to P2M/P2PM migration by December 10, 2023
- Dynamic QR for online merchants by April 30, 2024
- First 24-hour P2P limits: 25 transactions, Rs. 4 lakh cap

9.7 API Security Guidelines (May 2025)

OC-215/2025-26 circular mandating:

- API queuing and rate limiting by July 31, 2025
- PSP undertaking by August 31, 2025
- Justification and tracking for every API call

9.8 User Experience Enhancements (2025)

- Automatic balance display post-transaction
- OTP-based verification for improved control
- Restricted auto-debit timings for transparency
- Account linking limits (25 per day)
- Balance check limits (50 per day)

9.9 Government Incentive Schemes

Guidelines for RuPay and BHIM-UPI incentive schemes (2024)[10]:

- P2M transactions up to Rs. 2,000 eligible for incentives
- Incentive rates: 0.40% (capped at Rs. 100) for general, 0.15% (capped at Rs. 6) for industry programs
- Only transactions by banks with India operations considered
- Prepaid and credit cards excluded

10. Indemnification and Liability

10.1 Member Indemnification

All UPI network participants must defend, indemnify, and protect themselves and NPCI from losses arising from[2]:

- Failure to perform duties per UPI Procedural Guidelines
- Malfunctioning of equipment/systems
- Fraud or negligence
- Unauthorized access to UPI network
- Violation of copyright and patent laws

10.2 PSP Liability

- Full liability for first factor authentication
- Full liability for data breaches at PSP level
- Responsibility for customer data security (own and other banks' customers)
- Liability for merchants onboarded (directly or via aggregators)

10.3 Acquiring Bank Liability

- Full liability for merchants onboarded
- Responsibility for due diligence on merchants
- Liability for wrong categorization of merchants
- Obligation to validate Reference IDs and transaction amounts

Conclusion

India's UPI ecosystem operates under a comprehensive regulatory and operational framework designed to ensure security, reliability, and consumer protection. The RBI provides overarching regulatory oversight, while NPCI manages day-to-day operations and technical standards.

Key compliance areas include:

- Mandatory two-factor authentication and PKI encryption
- Annual security audits by CERT-IN empaneled auditors
- Strict merchant onboarding and categorization rules

- Settlement through IMPS with RTGS backing
- Transaction limits tailored to use cases
- Comprehensive penalty framework for violations

The recent updates in 2024-2026 reflect the evolving needs of the digital payments landscape, including higher transaction limits for specific categories, enhanced security frameworks, and improved dispute resolution mechanisms. All stakeholders—banks, PSPs, merchants, and technology providers—must stay current with these guidelines to ensure compliance and maintain trust in India's flagship digital payment system.

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